



How Gusto Uses AI

(and What We're Still Figuring Out)

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Prairie DevCon 2026

Winnipeg, September 21-22, 2026



Same people.
More possibilities.



- ✓ BETTER TOOLS
- ✓ HAPPIER ENGINEERS
- ✓ STRONGER CUSTOMERS
- ✓ BRIGHTER TOMORROWS



Curiosity
Builds
Better
Software

gusto

Good
ideas
ship.

- ✓ Plan
- ✓ Build
- ✓ Review
- ✓ Improve
- ✓ Repeat

Bigger things
together.

PEOPLE | OWNERSHIP | CURIOSITY | IMPACT | BELONGING



Payworks



Google Public Sector | carahsoft.

NMM New Media
Manitoba

improving
It's what we do.™

laivly

POLLARD
banknote limited

RICHARDSON



What's Gusto?

Payroll is the heart of Gusto — but increasingly, it's the starting point.

Same people.
More possibilities.

For Businesses

Payroll, HR and benefits software for small and midsize businesses.

- ✓ Save time
- ✓ Stay compliant
- ✓ Take care of your people



HR & Benefits

Tools to hire, manage and support your team.



- ✓ HR tools
- ✓ Benefits administration
- ✓ Time off and more

HSA / FSA

Tax-advantaged accounts through Gusto.



- ✓ HSA and FSA
- ✓ Easily integrated
- ✓ Less admin work

Retirement

401(k) and retirement savings, built in.



- ✓ 401(k) plans
- ✓ Traditional and Roth IRA
- ✓ Payroll integrated

PAYROLL

Get people paid accurately and on time



Gusto Wallet

A spending account, debit card and savings goals — all through Gusto.



- ✓ Spending account
- ✓ Debit card
- ✓ Savings goals

On-Demand Pay

Powered by Clair, managed through Gusto.

clair

- ✓ Early access to pay
- ✓ Trusted partner
- ✓ Seamless experience

Additional Financial Tools

More ways to support your people today and tomorrow.



- ✓ Savings and financial wellness
- ✓ More products to come
- ✓ All in one place

For Employees

More than a paycheck. Tools to help you today and build for tomorrow.

- ✓ Get paid
- ✓ Manage your money
- ✓ Save for the future
- ✓ Feel more secure



From getting people paid → helping them manage, save and plan what comes next.



Gusto by the Numbers

More businesses. Happier people. A brighter financial future.

Same people.
More possibilities.
♥

500,000+
businesses
nationwide

From corner
shops to
growing teams.
♥



1 in 12
U.S. businesses

Roughly 1 in 12
U.S. businesses
use Gusto.



\$1B+
in trailing-12-month
revenue

Surpassed \$1 billion
in May 2026.

Onward
and upward!
♥



**Tens of
billions**
in payroll each year

We help move tens of
billions of dollars in
payroll annually.



Engineering team:
in the hundreds



Total team count:
more than 3,000



Great
people
make this
possible.
♥

Major offices in:



Denver



San Francisco



New York

Calgary office:
very exclusive.



Small office.
Big perspective.
♥



Gusto Embedded

Our payroll engine powers more great businesses — even when they don't sign up directly with Gusto.

Partnering with leaders

We provide the payroll engine behind a number of other services.

- ✓ Chase
- ✓ US Bank
- ✓ FreshBooks
- ✓ and more

Gives us access to another million small and medium businesses through partners.



CHASE 

us bank

F FreshBooks

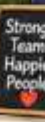
And other partners...



More businesses.
More people.
More possibilities.



FITNESS



DESIGN STUDIO



CONSTRUCTION



COFFEE



THRIVING
BUSINESSES
STRONGER
COMMUNITIE



Different brands. Same trusted payroll engine. A bigger impact.



guideline

A simpler path
to retirement for
small businesses.



I came from Guideline

I worked on the payroll team, integrating with all the providers,
helping power 401(k) for small and medium businesses.



Provided retirement services
for small to medium businesses.



Integrated with dozens
of payroll providers.



I worked on the payroll team,
integrating with all these providers.



401(k) service layered on
top of payroll data.

gusto

BIGGER
IMPACT
TOGETHER



Same mission. A bigger platform. More people. ♥

gusto

Guideline + Gusto Made Sense

Two like-minded teams, a natural fit, and a brighter future together.

Same people.
Bigger impact.



Founded around the same time

Guideline (2014) and Gusto (2012) were solving hard problems for small and medium businesses at a similar time.



Similar tech stacks

Modern, cloud-native stack, with a shared focus on developer velocity, product quality and scalability.



Similar engineering philosophy

Customer obsessed, high trust, small autonomous teams, and a pragmatic, ship-it mentality.



Already the closest partnership

Guideline was Gusto's 401(k) partner — a uniquely deep integration compared to any other payroll provider.



Same engineers.
New adventures.

Different names. Same mission. Stronger together.



Good systems build
bright futures.



Why Buy Rather Than Build

For 401(k), the smart move was to buy a proven, compliant platform.

Some problems are better joined than built.

1. 401(k) is heavily regulated

It's governed by complex ERISA, IRS and Department of Labor rules, with ongoing audits and fiduciary responsibilities.



2. Not a space you AI-yourself into

AI can help us move faster, but it doesn't remove the need for regulatory expertise, licenses, audits and long-term operational discipline.



3. Barriers are compliance and trust, not code

The real challenges aren't building features — they're earning and maintaining regulatory approval, securing data, and being a reliable steward of people's savings.



4. Buying a proven platform was the best path

Guideline brought a mature, compliant platform, deep expertise and an experienced team, letting us focus on what we do best — serving customers and building together.



Different strengths. A stronger future together.

Good retirement builds brighter tomorrows.



What This Talk Is (and Isn't)

A field report from Gusto Engineering on using AI in our day-to-day work — what's working, what's hard, and what we haven't solved (yet).

Same people.
Real experiences.

✓ This talk is...



A field report

Real experiences from Gusto engineers using AI every day.



What's working

Successes, concrete examples and early wins.



What's genuinely hard

Frictions, trade-offs and surprises.



What we haven't solved (yet)

Open questions and where we're heading next.



✗ This talk isn't...



Not a sales pitch

This isn't about selling tools or promising magic.



Not an AI 101

We won't cover basic concepts or general tutorials.



Not hype or perfection

We'll be honest about limitations, mistakes and where AI falls short.



Not a detailed roadmap

This isn't a product launch or full future plan.

Same mission. New tools. Real progress.





Our AI Roadmap

From inner loop to customer impact — with guardrails, and a clear view of what's still hard.

Same people.
New tools.
Bigger possibilities.

1. The tools we use

Across the engineering org, we use AI every day to write, review, test and ship code.



Claude
Code & chat



GitHub Copilot
IDE assistance



ChatGPT
Research & problem solving



JetBrains
AI features



Cursor
Editor with AI



Internal tools
Custom agents & automations

2. Guardrails they made possible

We've put guardrails in place so engineers can move fast and responsibly.



Security & privacy

No secrets, PII or sensitive data in prompts



Policies & guidance

Clear do's and don'ts



Internal tooling

Safe defaults, logging and review



Training & culture

Practical education, shared learnings

3. Where AI talks to customers

AI isn't just for engineers — it's also part of how we serve and support our customers.



Gus

AI assistant for small business owners



Gusto in ChatGPT

Bring Gusto workflows into ChatGPT



Embedded partners

AI-enabled experiences through partners



Across the product

Smarter support, insights and automation

4. The open problems

We're making real progress, but there are still hard questions to solve.



Cost

Usage is growing fast. How do we keep it sustainable?



Measuring value

Better metrics, beyond "vibes" — productivity, quality, customer impact.



Hard problems

Complex systems, long context, reliable automation, agentic workflows and more.



What's next?

We're still exploring — and we'd love to learn from you.

NEW TOOLS

HAPPIER CUSTOMERS

BIGGER POSSIBILITIES

STILL EXPLORING

Real tools. Responsible use. Meaningful impact. And further to go.



Curiosity delivers.



Where We Started with AI

We had the support, the tools, and the time to explore.



Leadership bought into AI early

Strong support from the top to experiment, learn and find real value.



We had first class access to all the tools

Early access to the latest models and features across the industry.



We spent about a year just building and discovering

We tried a lot of ideas, big and small — throwing things against the wall to see what would stick.

Try
Build
Learn
Repeat

STUCK

- Spaghetti
- Post-it notes
- Pizza
- Duct tape
- Whiteboard markers
- Good coffee
- Rubber ducks
- Clear documentation
- Small, focused tools
- Curious people

DIDN'T STICK

- Liver
- Onions
- Ice cubes
- Mayonnaise
- Confetti
- Raw fish
- Glitter
- Huge single prompts
- Replacing humans
- Solving compliance with a prompt

CURIOSITY
BUILDS
BETTER
PAYROLL

Claude
ChatGPT
GitHub Copilot
Cursor
JetBrains AI
Notion AI

IDEAS
FUEL
PROGRESS

SOME
STUCK!

MOST
DIDN'T!

IDEAS

Good
ideas get
messy first.

EXPERIMENT
ITERATE
LEARN
IMPROVE
REPEAT

A year of curiosity laid the foundation for what comes next.



Finding What Didn't Work

Lots of exciting tools. Also a lot of chaos, confusion, and cost.

Shiny tools
are fun.
Alignment
is harder.



1. Tool fragmentation made it hard to collaborate

Everyone was using different tools, models and workflows, which made it difficult to share learnings and solve problems together.



2. Constant "Hey I just found this cool thing"

New tools and features were popping up every week, leading to a never-ending stream of Slack messages, demos and side quests.



3. AI costs can quickly get out of control

With so many tools, experiments and usage, costs added up quickly — often without a clear view of what was actually delivering value.



Excitement got us started. Now we needed focus.



Where We Landed

AI is now a core part of how we build at Gusto.

Less tools.
More builders.
A brighter tomorrow.



Working with Claude Code daily

Claude Code is part of our daily workflow — from prototyping to production code, it's always open in a terminal somewhere.



Almost all our code is written by AI

Engineers are shipping faster with AI. The majority of our code is now written with AI, with humans reviewing, refining and guiding.



Designers are using Claude too

A significant portion of our designers use Claude to explore ideas, generate components and work directly in code.

We've dropped our Figma subscriptions.



Product managers are writing PRs

PMs are using Claude to explore ideas, prototype changes and now regularly open small PRs themselves. It's easier than ever to turn an idea into something real.



Same mission. More people building it.



Groot: AI Orchestration for Teams

From a small idea (Minions) to a powerful platform for AI-driven development.

Bigger ideas.
More hands.
Faster progress.

1. From Minions to Groot

We started with Minions — a simple way to run AI agents in the cloud so people could get work done without tying up their own computers.

That idea has grown into Groot — a full platform for AI-driven development.



PEOPLE + AI
BIGGER
TOGETHER

2. Our internal platform

Groot is an internal cloud runtime for AI-driven development, built on Rails and Kubernetes.



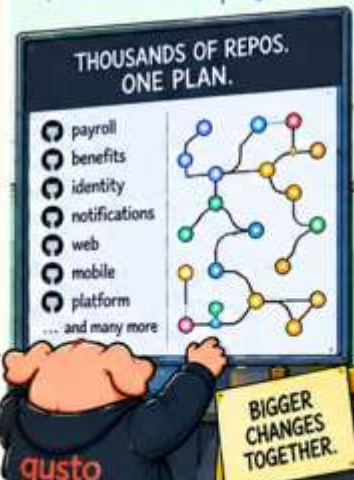
3. Autonomous agents in isolated pods

Groot dispatches autonomous coding agents to isolated pods, keeping work secure, scalable and reliable.



4. Coordinate across thousands of repos

Groot can plan and execute changes across multiple repositories, which is essential at our scale (thousands of repos).



5. Launch work from Slack

You can start work with Groot directly from Slack — turning conversations into action. Describe the task, @Groot, and let the agents take it from there.



Same mission. More builders. Greater impact.



Minions: The Agents Doing the Work

Autonomous, secure, and productive.

Agents
do the work.
People make
it great.



1. Autonomous coding agents

Minions are autonomous coding agents built on the Claude Agent SDK. They understand the task, explore the codebase, and get to work.



2. Implement tickets, open pull requests

They write code, run tests, commit changes, and open pull requests — turning ideas into working software.



3. Run in isolated pods

Each Minion runs in its own containerized pod in our Kubernetes cluster, with limited access, strong isolation and built-in guardrails.



4. Human gates built in

Humans stay in control. Plans are reviewed and approved before execution, and pull requests go through standard code review before merging.





Medusa: Batch Orchestration

Turning big ideas into coordinated progress.

Many agents.
One plan.
Ship together.



1. The orchestration layer inside Groot

Medusa is the batch-orchestration layer inside Groot. It takes a problem, makes a plan, and runs it with autonomous agents.



2. Breaks work into a batch of work units

Given a problem statement, Medusa analyzes the work and splits it into logical chunks — a batch of work units — with dependencies and ordering.



3. Fans out to Minions and tracks the run

Work units are dispatched to Minions, which run in isolated Kubernetes pods. Medusa tracks progress, handles dependencies, and reacts to results.



4. Watches PRs through to merge

Medusa monitors the pull requests, requests reviews when ready, and moves the batch forward as PRs are approved and merged.

PROBLEM STATEMENT

"Add 401(k) export for web and API, with tests, docs and rollout."

Let's figure this out...

I'll break this into work units and get the team on it.

FAN OUT TO MINIONS

SAME MISSION.
MORE PROGRESS.

MEDUSA
TURNS IDEAS INTO ACTION

From a single idea to many merged PRs.

Batch #4827 — 401(k) Export

Planned (3)	In Progress (4)	Review (2)	Merged (5)
API schema	Export service	Refactor utils	API endpoint
Auth & permissions	Web UI	Error handling	Web UI
DB changes	Tests		Tests
	Docs		Docs
			Rollout

Look at that progress!

SMALL TASKS
BIG CHANGES
HAPPIER TEAMS



Expanding the Toolbox in Groot

More than just writing code — agents that keep Gusto running, healthy and improving.

Same platform.
More problems.
Bigger impact.



1. Build & Performance Monitors

Agents watch our builds, looking for failing tests, performance regressions and other issues, then automatically kick off Minions to investigate and propose fixes.

"Tests are red — spawning a Minion to fix it."



2. Automated QA

Agents run QA checks, explore the product, validate changes and catch issues early — from UI tests to API behaviour.

"Running QA agent on new PR..."



3. Incident Investigation

Kick off incident investigations inside Groot. Agents gather logs, analyse issues, correlate signals and propose likely causes and fixes.

"Investigating elevated error rate in payments..."



4. Automated Review Agents

Agents review pull requests for code quality, security, consistency and best practices — giving fast, helpful feedback to developers.

"Review complete — 3 suggestions, 1 blocker."



5. Long-Running Projects

Dedicated agents work on bigger, longer-term efforts like linting remediation, TypeScript migrations and dependency updates — breaking work into batches and tracking progress over time.

"1,243 files migrated. 68% complete."





Burn-Down, Then Guardrails

AI cleared the backlog. Guardrails keep us moving forward.

Move fast.
Stay on track.
Higher quality.
A happier Gusto. ❤️



1. Burned down years-old backlog

AI agents helped us tackle long-standing issues — old bugs, maintenance work, and backlog items that had been sitting for years.

"The backlog that wouldn't die ... is finally dead."



2. The more interesting result: what came after

With the backlog under control, we focused on preventing new problems — raising the bar on consistency, quality, and how we build.

"It's not just what we fixed. It's how we build now."



3. Guardrails that keep us on the rails

Automated guardrails catch issues early, enforce best practices, and keep the codebase healthy — so we can move fast without moving backwards.

"Fewer regressions. Higher quality. Less toil."



4. Built with linting rules and skills

We implement guardrails as linting rules and reusable skills for larger patterns.

Linting rules

- Is the code quality up to snuff?
- Are we doing things the proper way?
- Catch issues early

Skills

- How to add new Kafka topics and consumers
- How to organise code at a high level
- Encode Gusto best practices





Example 1: The Naked-`<div>` Guardrail

No raw `<div>`s. Use our design system.

Consistency scales.
Design systems make us faster. ❤️



1. Custom lint rule

- local/no-div-in-react (error-level)
- Blocks raw `<div>` elements
- Forces use of design-system components



2. A big problem

- Literally thousands of violations across our codebase.
- Initial approach: throw AI at fixing it.
- It worked, but it was expensive and slow.



3. A better approach

- We had AI build a code transformation instead.
- The transform handled more than 90% of our violations automatically without costing us any tokens.



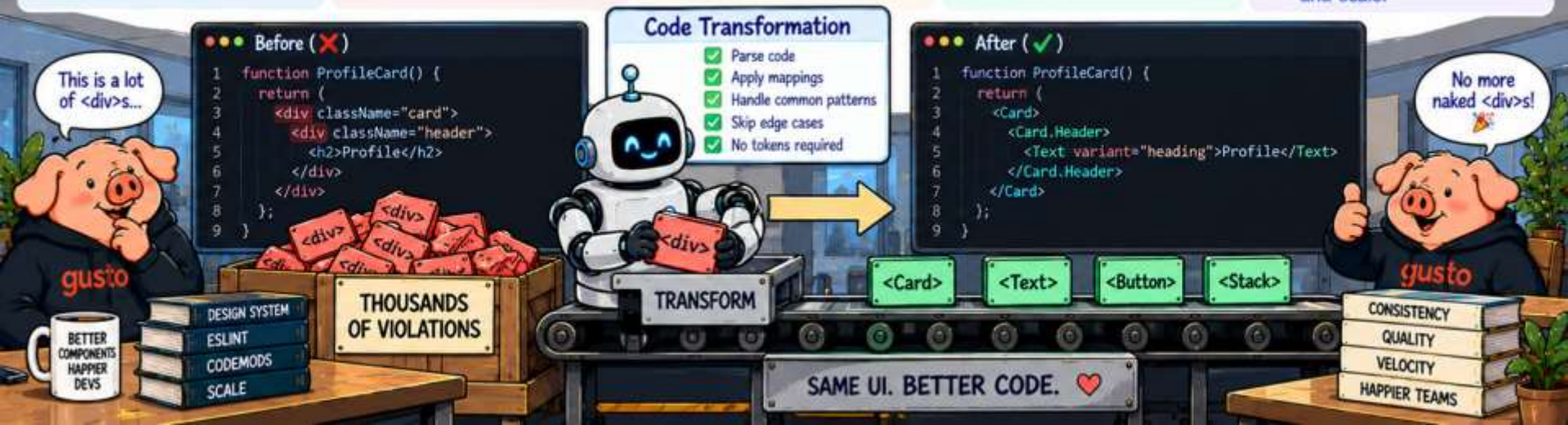
4. The results

- 90%+ of violations fixed automatically.
- Fast, consistent, and repeatable.
- Remaining edge cases handled with targeted follow-up (often with AI).



5. Lasting impact

- Cleaner, more consistent codebase.
- Greater use of our design system.
- Fewer one-off styles and layout bugs.
- Easier to maintain and scale.



Consistency today. A more maintainable Gusto tomorrow.

Design system
for everyone.
Automatically. ❤️

1 Raw HTML tags can't receive theme tokens

A plain `<div>` doesn't know about our theme. It can't use our spacing, colours, typography or dark mode tokens.

```
// Raw HTML
<div className="card">
  <h2>Payroll</h2>
  <p>Run your payroll with
    confidence.</p>
</div>
```

Payroll

Run your payroll with confidence.

Looks different, every time.

No theme.
No tokens.
No consistency.

2 Styling silently drifts as the design system evolves

As we update our design system (tokens, spacing, colours, components), raw HTML doesn't automatically adapt. Over time, the codebase becomes a patchwork of inconsistent styles.

Today

Payroll

Run your payroll with confidence.

Get started

After design system update

Payroll

Run your payroll with confidence.

Get started

No more
mystery spacing...

Same code.
Different result.

3 The guardrail enforces it so no one has to eyeball every PR

Our lint rule (local/no-div-in-react) prevents raw `<div>` usage, ensuring everyone uses design-system components. It keeps the codebase consistent, accessible, and on-brand — automatically.

```
ProfileCard.tsx
1 <div className="card">
2   <h2>Payroll</h2>
3 </div>
❌ Error: local/no-div-in-react
Do not use raw <div> elements.
Use design-system components instead.

✅ <Card>
  <Card.Header>Payroll</Card.Header>
  <Card.Content>
    Run your payroll with confidence.
  </Card.Content>
</Card>
```

4 The result

- ✓ Consistent, on-brand experience
- ✓ Automatically picks up theme changes
- ✓ Less manual review work
- ✓ Higher quality UI
- ✓ A faster, happier Gusto

More time
building. Less time
chasing styles.

GOOD
TOOLS
HAPPIER
PEOPLE

Guardrails today. A cleaner, brighter Gusto tomorrow. ❤️



Example 2: Removing Legacy Frontend Translation

A lot of effort. Zero translations. Time to simplify.

Less legacy.
More focus.
A simpler,
happier Gusto. ❤️

1 A decade of effort

For ~10 years we invested significant engineering effort to support translations on the frontend, building a homegrown i18n service and later adopting i18next as it became popular.



2 But we never translated the site

In all that time, we never actually shipped a single translated word.

No Spanish. Nothing.



Looks great in English!

10 YEARS
0 TRANSLATIONS
MANY PULL REQUESTS
IT'S TIME.



3 Why it didn't make sense



Lots of technical and legal language on the site.



Translating it in a way our legal team would approve would have been a huge effort.



Added complexity to multiple languages.

All this complexity... for zero users?

4 An in-progress epic

We are removing i18next and our legacy i18n service from the frontend entirely.

This isn't a place where we can just apply automatic code fixes — it requires thoughtful, manual work to simplify and clean up the codebase.

5 Looking ahead

As we grow and move into new markets we might want to support new languages so our approach might evolve.

For now, removing this legacy code lets us focus on what matters, reduce complexity, and ship faster.



Same mission. Less legacy. A brighter Gusto tomorrow. ❤️



Broader Than a Lint Rule

Sometimes the right thing is bigger than an automated code fix.

Less legacy.
Less complexity.
A simpler,
brighter Gusto.
♥



1. A whole-system removal

This isn't a simple find-and-replace. We're removing i18next and our legacy i18n service from the entire frontend — code, configuration, tooling and dependencies.

"Not a one-off fix — a full cleanup."



2. Still underway

This is an in-progress epic. It takes careful planning, coordination and incremental work across many parts of the system.

"Progress, not perfection (yet)."



3. Same guardrail philosophy

Like our other guardrails, we're enforcing a clear standard and removing what we don't need — automatically where possible, and with intention everywhere else.

"A cleaner, more maintainable codebase for the long term."



4. Bigger scope, bigger impact

Less legacy code, fewer dependencies, simpler developer experience, and one less system to maintain — so we can focus on what matters most.

"Same principles. Greater payoff."

SIMPLER FRONTEND AHEAD

- ✓ REMOVE i18next
- ✓ REMOVE LEGACY i18n
- ✓ LESS COMPLEXITY
- ✓ FASTER BUILDS
- ✓ EASIER ONBOARDING
- ✓ BRIGHTER GUSTO



Guardrails aren't just for lines of code. They're for a better Gusto. ♥



Fix It Once, Then Encode the Fix

Solve it. Automate it. Move on.

Fix. Encode.
No repeat
debates.
A happier Gusto. ❤️

1 Fix the debt once

Put in the work to solve the underlying problem — whether it's a quick fix or a larger effort.

Fix it for real this time.



2 Encode the fix as a guardrail

Turn the learnings into automation:



Lint rules

Catch it in the code.



Hooks

Enforce it in the workflow.



Skills

Teach AI (and humans) the right way.

3 Steers AI (and everyone else) the right way

The guardrails guide AI agents, new team members, and experienced developers towards the correct patterns automatically.

Right path, automatically.



4 Code review stops re-litigating

Once it's encoded, we don't have to debate it in every PR. The guardrails catch it, so code review can focus on what really matters.

No more
"Can we use a `<div>` here?"
Let's talk about what matters.



A CLEANER,
FASTER, HAPPIER
GUSTO ❤️

SAME LESSONS. A BRIGHTER GUSTO TOMORROW. ❤️



We Write Our Own Skills

Custom skills. Real impact. Our way.

Our knowledge.
Our context.
A brighter
Gusto. ❤️

1 Not just off-the-shelf tools

We build our own skills instead of relying only on generic, third-party AI tools.

Off-the-shelf tools are great, but our custom skills know our codebase, our systems and our way of working.

2 Packaged, codebase-specific instructions

Each skill is a package of instructions, context and tools tailored to our environment.

They give the AI (and new engineers) the right context to do useful work from day one.

3 Teach how we do things differently

Our skills capture Gusto-specific knowledge:

- ✓ Our architecture
- ✓ Our conventions
- ✓ Our best practices
- ✓ Our edge cases
- ✓ The “why” behind decisions

4 Dozens (if not hundreds) of skills

We have dozens — probably hundreds — of skills covering everything from local database access to PR automation to architecture patterns.

And we keep adding more as we find new opportunities.

5 Both local and global skills

Gusto-specific skills

- Access staging databases
- Interact with staging environments
- Understand our services and data

More general skills

- Attach images to GitHub PRs
- Summarize docs
- Common developer workflows

Same know-how.
More superpowers.

ARCHITECTURE
CONVENTIONS
BEST PRACTICES
EDGE CASES
OUR WAY

GOOD
SKILLS
HAPPIER
DEVS

I read
the docs.
So you don't
have to.

GUSTO
SKILLS

STAGING ACCESS
DATABASE QUERIES
DEPLOY HELP
GITHUB PR IMAGES
CODE EXPLANATIONS
SERVICE CONTEXT
AND MANY MORE...

SKILLS IN ACTION

RIGHT
CONTEXT
RIGHT TOOLS
BETTER
RESULTS

A SKILL IN ACTION (EXAMPLE)

```
> use gusto/staging-db
```

- ✓ Connect to staging database
- ✓ Run query
- ✓ Summarize results
- ✓ Provide next steps

More skills.
More time
for the important
stuff.

Skills today. A brighter Gusto tomorrow. ❤️



Flagship Example: The Comment-Cleanup Guardrail

Less waffle. More signal. Same great Gusto.

We pay AI to write comments. Then we pay AI to fix them. Working on it! ❤️

1 A Claude Code skill/hook

A custom Claude Code skill that runs automatically on new and modified comments.

It reviews comments as you write them (or on commit) and gives feedback or suggests improvements.

Write the code!

...and maybe a brief, helpful comment.

2 Targets chatty, over-explained comments

AI tends to write long, obvious, and over-detailed comments — explaining what the code clearly shows.

Our guardrail catches these and nudges for concise, useful comments.

BEFORE (AI's first draft)

```
1 // This function calculates the total
2 // by looping through all of the items
3 // in the list and adding up the price
4 // for each item. We do this so that
5 // we can get the final total amount
6 // to return to the user.
7 function calculateTotal(items) {
8   return items.reduce((sum, item) =>
9     sum + item.price, 0);
10 }
```

❌ Too long. Too obvious. Not helpful.

3 Runs a "survival test" on every new comment

Each comment is evaluated: Would this comment still be useful if the code changed tomorrow?

If not, it's flagged for improvement (or removal).

THE SURVIVAL TEST

- ✓ Is it necessary?
- ✓ Does it add meaning beyond the code?
- ✓ Would it still be useful if the code changed?
- ✓ Is it concise and accurate?

If the code already says it... we don't need to say it again.

Cleaner code. Happier reviews. Fewer tokens. A brighter Gusto. ❤️

4 The result

Shorter, clearer, more meaningful comments.

Code review spends time on what matters, not re-litigating the same verbose explanations.

And yes — for now, we still sometimes pay AI to clean up comments written by AI. We're working on getting it right from the start. 😊

AFTER (guardrail approved)

```
1 // Calculate total price for all items
2 function calculateTotal(items) {
3   return items.reduce((sum, item) =>
4     sum + item.price, 0);
5 }
```

✓ Concise. Useful. Survives tomorrow.

LESS WAFFLE

MORE SIGNAL

HAPPIER DEVS

BRIGHTER TOMORROW ❤️

Better comments. A brighter Gusto tomorrow. ❤️



A Different Story: AI Talking to Customers

Same mission. Happier people. Under the Gus brand.

Real people.
Real answers.
A brighter
Gusto. ❤️

1 Separate from code automation

This is a different use of AI — not writing our code, but talking directly to our customers.

Different problems, different design, same goal: a simpler, happier Gusto.

2 AI talking directly to customers

Gus answers questions, provides guidance, and helps customers get things done faster.

Available in our help center and in-product, 24/7.

3 Under the Gus brand

A friendly, helpful experience that feels like Gusto.

Same tone. Same values. Same mission.

It's still Gusto — just a new way to help.

4 Better experiences for our customers

Faster answers. Clearer guidance. Less time waiting.

More time running their businesses. Happier customers. A brighter Gusto.

A
BRIGHTER
GUSTO
TOGETHER
❤️



Same mission. Different conversations. A brighter Gusto. ❤️



What Gus Does Today

Real answers. Real progress. A brighter Gusto.

Questions answered.
Steps completed.
People empowered.
A brighter Gusto. ❤️

1 Conversational support

Gus answers everyday questions in a natural, friendly conversation.

No ticket. No waiting. Just help.

2 Increasingly domain guidance

Gus helps with more complex topics — like benefits, 401(k) questions, plan details, and next steps.

Guidance, not just answers.

3 A narrow, safe answer space

Gus stays within a defined, trusted set of information.

If it's outside that space, Gus will let you know and point you to the right human.

4 Real outcomes

We've seen a clear uptick in customers completing complicated steps — like enrolling in benefits or setting up a 401(k) — with AI guidance.

More progress. Happier people.

HAPPIER PEOPLE
BUILD
BRIGHTER
BUSINESSES
❤️

I'm not sure how to enrol in my 401(k). Can you help?



Gus

I'm not sure how to enrol in my 401(k). Can you help?



Absolutely! I can walk you through it. Here are the steps:

1. Choose your contribution amount
2. Select your investments
3. Review and confirm

Would you like to start with step 1?

Ask Gus anything...



Happy to help!
Let's get it done together.



REAL PROGRESS

- ✓ Enrolled in benefits
- ✓ Set up 401(k)
- ✓ Updated personal info
- ✓ Found the right plan
- ✓ Got clear answers

More completed steps.
Brighter tomorrows. ❤️

BENEFITS

401(k)

PAYROLL

TIME OFF

Guidance today. Greater tomorrows. ❤️

Good plans
brighter
tomorrows
❤️



The Same Guardrail Philosophy

Different use cases. Same principles. A better Gusto.

Intentional AI.
Better experiences.
Not Rogers.
❤️

1 Guardrails for code

We constrain what AI-generated code comments can say.

```
1 // This function calculates...  
2 // It loops through all the items...  
3 // We do this so that...  
4 // Here we return...
```

❌ Too verbose. Not helpful.

```
// Calculate the total price  
// for all items...
```

✅ Clear. Useful. Concise.

Good comments make better code.

2 Guardrails for Gus

We constrain what Gus can say.



Gus

Can you explain 401(k) matching?



Absolutely! Here's a simple overview based on Gusto's guidance...

- ✅ Narrow, reviewed answer space
- ✅ Accurate and on-brand
- ✅ Helpful, natural conversation

3 Intentional by design

Our use of AI in this space is very intentional. We want to make people's experience better — not worse. We don't want to be Rogers.

- ✅ Safe, trusted information
- ✅ Great customer experience
- ✅ Aligned with our values
- ✅ Continuous review and improvement

GUARDRAILS
IN ACTION

HALLUCINATIONS

WRONG INFO

BAD EXPERIENCE

LOST TRUST

FRUSTRATION

THE ROGERS EFFECT

REAL ANSWERS

HAPPIER PEOPLE

BRIGHTER TOMORROWS

PEOPLE
OVER
PROFITS
(AND OUTAGES)
❤️

A BETTER
GUSTO
TOGETHER
❤️

Guardrails help everyone get where they're going. ❤️



QUALITY
CLARITY
SCALE

BUILD THINGS THAT HELP PEOPLE



Cost: Where We Are Today

More value. More throughput. On what matters.

Smart use.
Real value.
On the right
problems. ❤️

1 Model tiering is in place

- ✓ Different models for different jobs
- ✓ Cheaper, faster models for simple tasks
- ✓ More capable models for complex work
- ✓ Helps us balance quality, speed and cost

2 No formal token budget (yet)

We don't have a strict budget today.

But we're actively working on better visibility, measurement and controls to get more value from our AI spend.

3 Focus on throughput and impact

- ✓ Get the most throughput for the least money
- ✓ Focus our AI usage on things that matter
- ✓ Avoid waste on low-value tasks
- ✓ Continuously improve how we use AI

4 A more sustainable path forward

- ✓ Better tooling and observability
- ✓ More deliberate model selection
- ✓ Measure value, not just usage
- ✓ Keep investing where it moves the needle for our customers and our team

THINK
USEFUL
NOT
EXPENSIVE
❤️



How Do You Know AI Is Helping?

Easy to measure activity. Harder to measure impact.

Not busier.
More impactful.
A brighter
Gusto. ❤️

1 The naive metrics

It's tempting to look at:

-  PRs merged
-  Lines of code changed
-  "AI-assisted" commits
-  How much code is being generated

These are easy to count.
But they don't tell the real story.

Lots of code
doesn't always
mean lots of
progress...

PEOPLE
OUTCOMES
NOT
JUST
OUTPUT

MEASURE
WHAT
MATTERS

Better
questions.
Brighter
tomorrow. ❤️

2 These reward volume

All of these metrics can be gamed, and they reward activity over outcomes.

They tell us that AI (or our devs) are busy — but not whether we're actually delivering more value.



3 Looking inside a PR is complicated

We can try to look at how much useful work is actually happening inside each PR:

- ✓ Bug fixes vs. net new work
- ✓ Meaningful changes vs. mechanical changes
- ✓ How much was AI vs. human
- ✓ Quality of the changes

But this is hard to measure reliably and at scale.

Interesting...
but context
matters.

PR #4821

+120 - Add new feature
- 34 - Refactor
+ 18 - Update tests
- 12 - Formatting
+ 201 -?

4 Exactly what we don't want to optimise for

More PRs, more lines, more "AI-assisted" commits doesn't automatically mean:

- ✗ Happier customers
- ✗ Faster delivery of important work
- ✗ Better quality
- ✗ A better experience for our engineers

We want to optimise for outcomes — not just volume.

CUSTOMER VALUE
QUALITY
FOCUS
REAL PROGRESS
A BRIGHTER GUSTO

SAME
MISSION.
SMARTER
TOOLS.
HAPPIER
PEOPLE. ❤️

Not just more work. More of what matters. ❤️



The Tiger Team Model

A small, cross-functional team. Big results.

More than
pigs in tiger suits. ♥



~2x Merged-PR
Throughput

26.6 → 55.3 per week

More high-quality code
shipping, faster.



41% Faster
Review Cycles

45h → 27h

Ideas to production
in less time.



1 designer, 1 product
manager, 2 developers,
fractional QA



Not just ideas and mocks



Real production code



Full team collaboration
with AI



AI-Driven
Tiger Team



Small, focused, cross-functional



AI as a force multiplier



Fast iteration, real outcomes



A better experience for
our customers

SMALL
TEAM
BIG
IMPACT
♥

Shipping
real solutions
for real people!
♥

Great
design. Happier
customers.
♥

Turning ideas
into impact.
♥

Quality
keeps us
roaring.
♥

IDEAS → IMPACT

BETTER TOOLS	REAL CODE
FASTER FEEDBACK	REAL OUTCOMES
HAPPIER CUSTOMERS	BRIGHTER TOMORROWS ♥

Good
teams ship.
♥

PRODUCT
DESIGN
ENGINEERING
QA
CUSTOMERS

Welcome to
the retirement
team.
♥

TIGER TEAM

- ✓ IDEA
- ✓ BUILD
- ✓ REVIEW
- ✓ SHIP
- ✓ DELIGHT CUSTOMERS

BETTER
RETIREMENTS
AHEAD
♥

Same people. Faster progress. A brighter Gusto. ♥

ITERATE
COLLABORATE
ACCELERATE
MAKE A DIFFERENCE



The Honest Thesis

We're optimistic, but we're still figuring it out.

Progress
over perfection.

1 A lot of smart people thinking hard about this

Engineers, product, design, security, legal, and many others across Gusto are deeply engaged in figuring this out.

2 We have not figured it all out

There are still hard questions. We'll make mistakes.

Some things will change as the technology, risks, and our understanding evolve.

3 Good early guidelines, real conviction

We have useful principles and guardrails in place.

We're intentional about where and how we use AI.

We're seeing real benefits for our customers and our teams.

4 We keep revising both

As we learn more, we'll update our guidelines.

We'll refine how we measure impact.

We'll adjust our approach based on what works — and what doesn't.



PROGRESS
MAKES
HAPPIER
PEOPLE

CURIOUS
PEOPLE
BUILD
BRIGHTER
TOMORROWS



PEOPLE FIRST
BE HELPFUL
BE SAFE
CREATE VALUE

Figuring it out
together.

PEOPLE
EXPERIMENT
LEARN
ITERATE
DO BETTER



Not all the answers yet. But a brighter Gusto ahead. ❤️



GUIDELINES
EXPERIENCE
IMPACT
WHAT'S NEXT



Nobody Has This Figured Out

It's a journey, not a destination.

Same questions.
New answers. ❤️



Nobody in the industry has this figured out either.

Every company is experimenting, learning, and adjusting.



Nobody knows what this looks like in six years.

The landscape will keep changing – new models, new tools, new possibilities.



Stay introspective, follow emerging best practice.

Keep asking questions, learn from others, be ready to evolve.



